Failure and Opinion Decomposition: Matched Unweighted

Warned failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	0.017*	0.000	0.017	0.029**
	(0.010)	(0.003)	(0.020)	(0.013)
p	0.0984	0.8831	0.3955	0.0311
Observations	1,763	1,763	1,763	1,763

Warned failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	0.018*	0.026	0.017*
	(0.010)	(0.020)	(0.010)
p	0.0693	0.1962	0.0739
Observations	1,763	1,763	1,763

MAO / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.017	-0.017	-0.017	-0.017
	(0.035)	(0.035)	(0.035)	(0.035)
p	0.6311	0.6311	0.6311	0.6311
Observations	1,763	1,763	1,763	1,763

MAO / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.017	-0.017	-0.017
	(0.035)	(0.035)	(0.035)
p	0.6311	0.6311	0.6311
Observations	1,763	1,763	1,763

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.